



# Organic Dairy Farm

---

Gaurav Joshi

+91-982 346 6677

kavee.gauravjoshi@gmail.com

<https://www.linkedin.com/in/gsjoshi/>

# Agenda

---

01

## What do we know?

4-C Framework (Company – Customer – Contractors – Circumstances)

02

## What are the problem areas and How can we tackle them?

Business challenges and their probable solutions

03

## Can we leverage on the product to create a platform?

Instead of serving one client, a platform can serve multitude of clients

04

## How can we convince client to invest in the product?

Some tentative, rough calculations to evaluate market size and value



# What do we know?

4-C Framework (Company – Customer – Contractors – Circumstances)

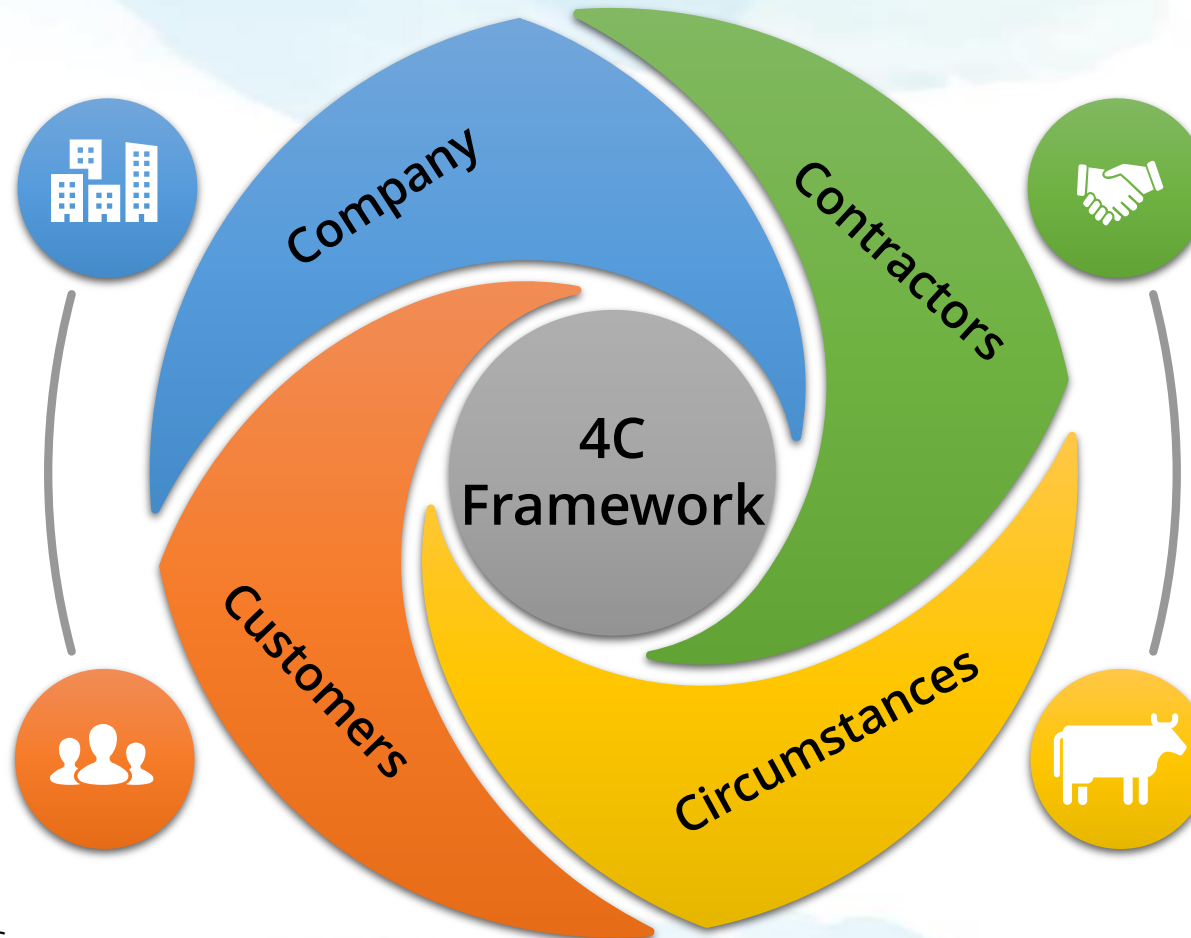
# Information Canvas

## Who is our client?

Organic Dairy Farm Cooperatively working with other farms

## Who are they selling to?

- Geographies: KA, AP, TN (Tier 1 & 2 cities)
- Target Segments: Expenditure on milk and milk products
- Families with kids less than 20 years, Users with internet access

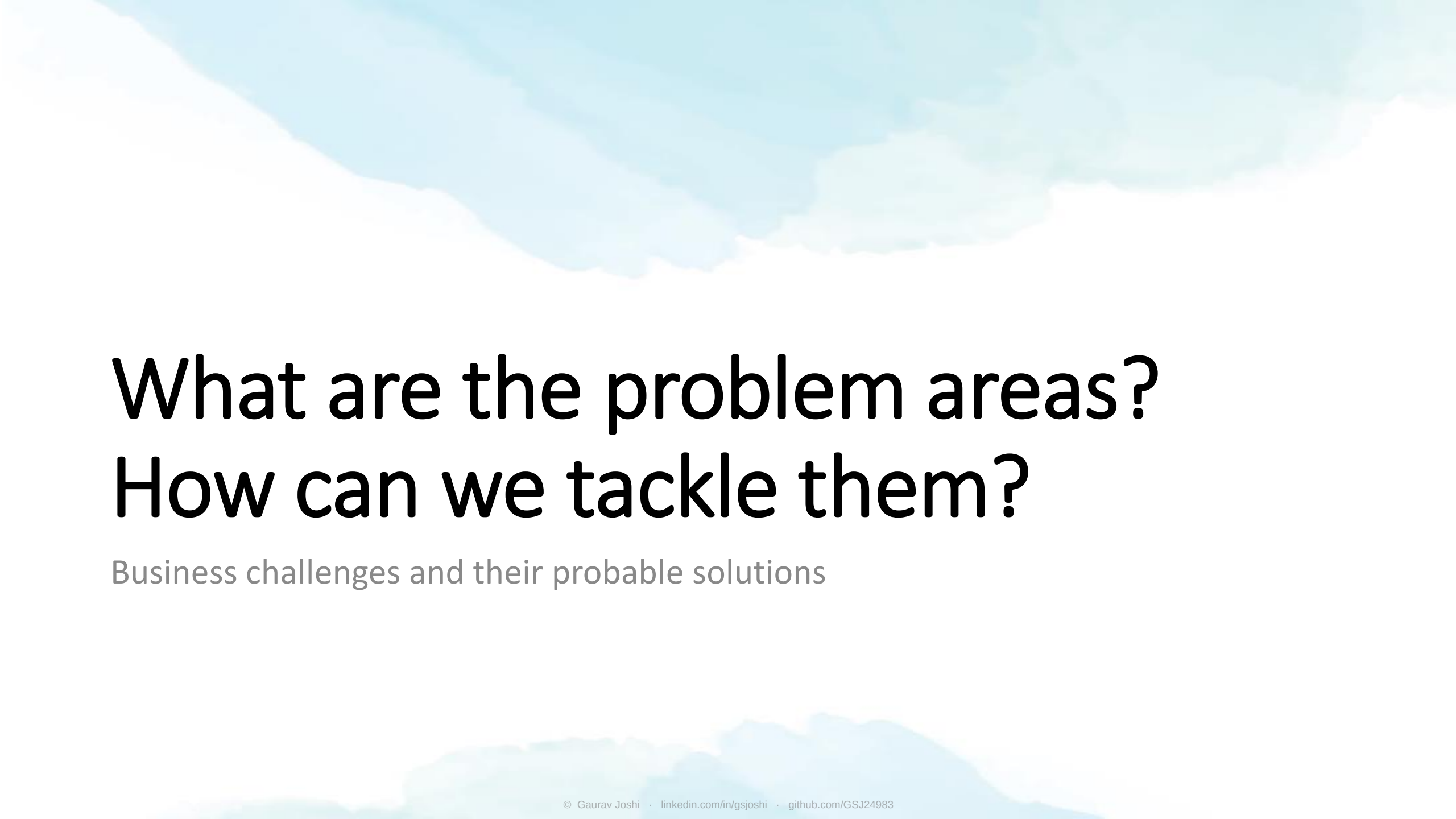


## How do they operate?

- Farm / Local Farmer → Collection Points → Chilling Centers → Factory / Processing Units → Delivery Partners → Consumers
- Operating Model:
  - Subscription (Milk)
  - On-demand (Milk & Milk products)

## What are peculiarities of their industry?

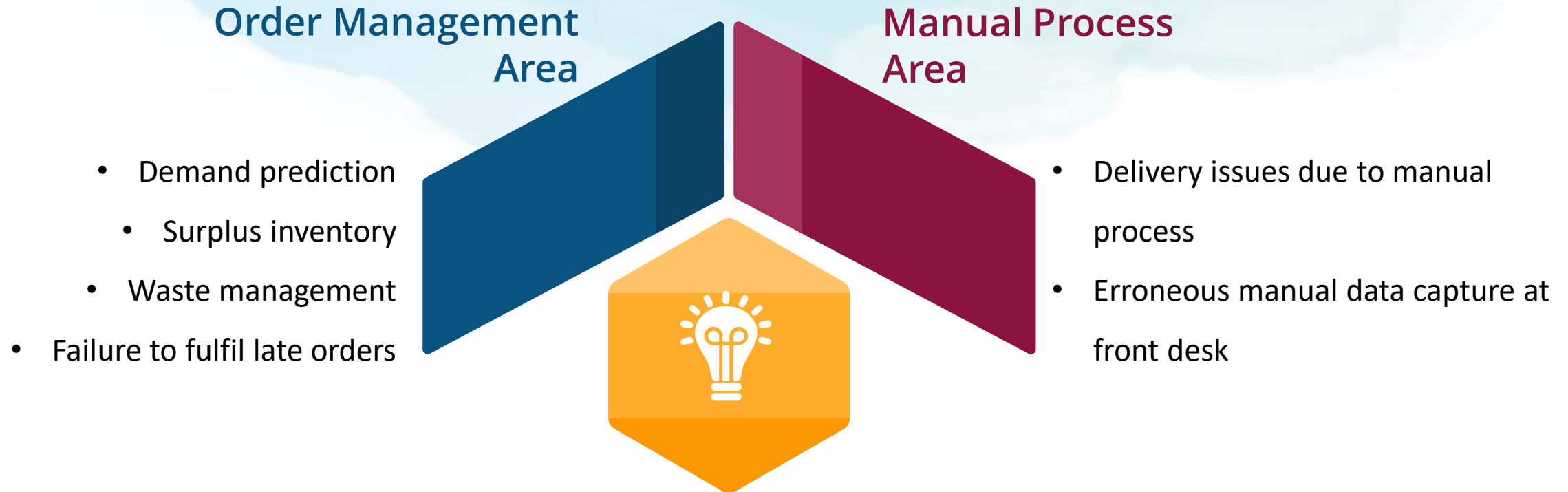
- High price elasticity
- Low productivity per animal



# What are the problem areas? How can we tackle them?

Business challenges and their probable solutions

# Problem Areas



**Solution Area:**  
**Technology Product for 'Organic Dairy Farm'**



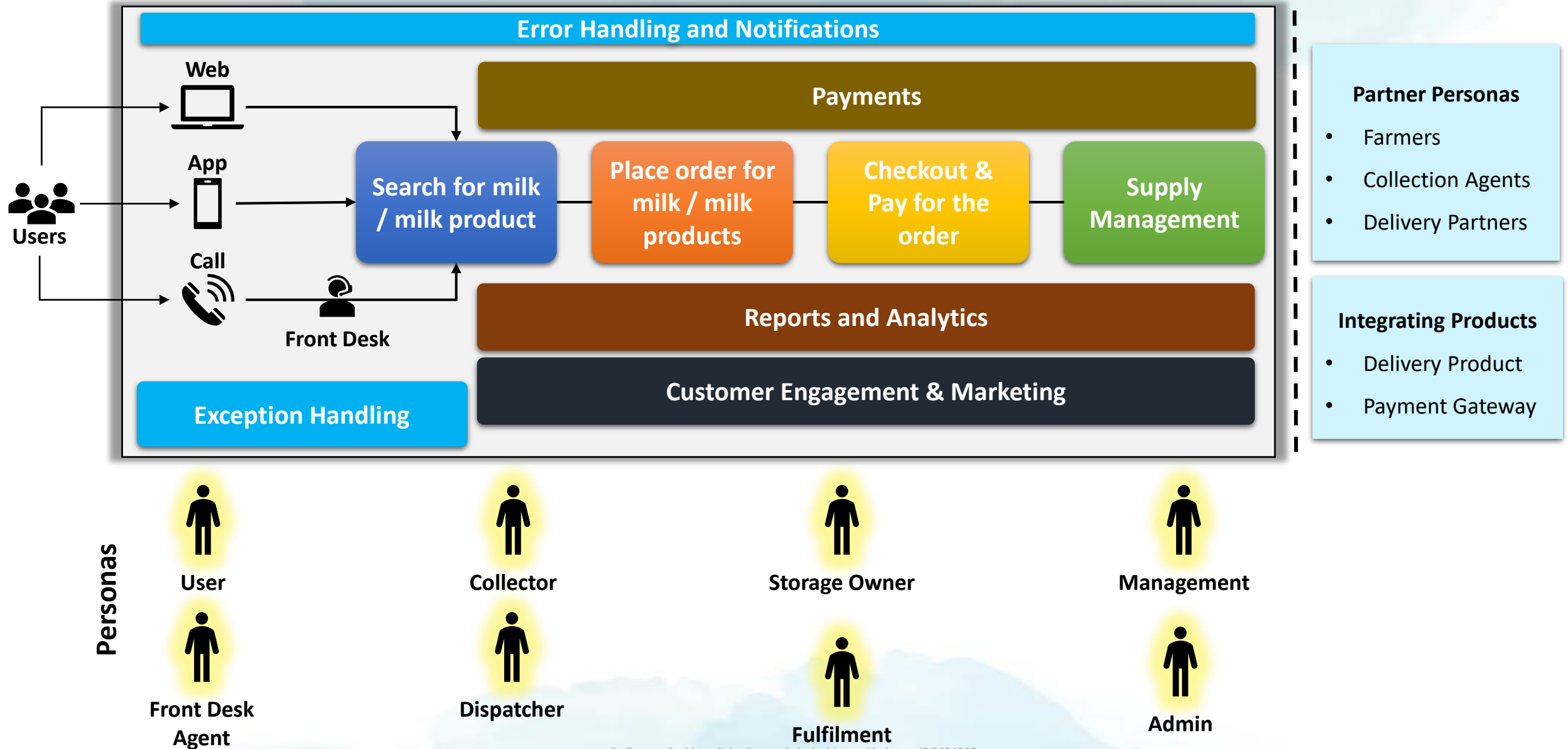
**Way Forward:**  
**Technology Platform for any Dairy Farm**

# Out of Scope Solutions

---

- Supply Chain and Delivery Process Improvement Solutions
- Marketing related Solutions (which might impact the demand, but considered out of scope for this analysis)
- Farmer / Milk Supplier related Solutions
- Political + Economical + Social + Legal Solutions
- People & Knowledge Management related Solutions (Front desk staff training / Process Improvements)

# Technology Product for 'Organic Dairy Farm'



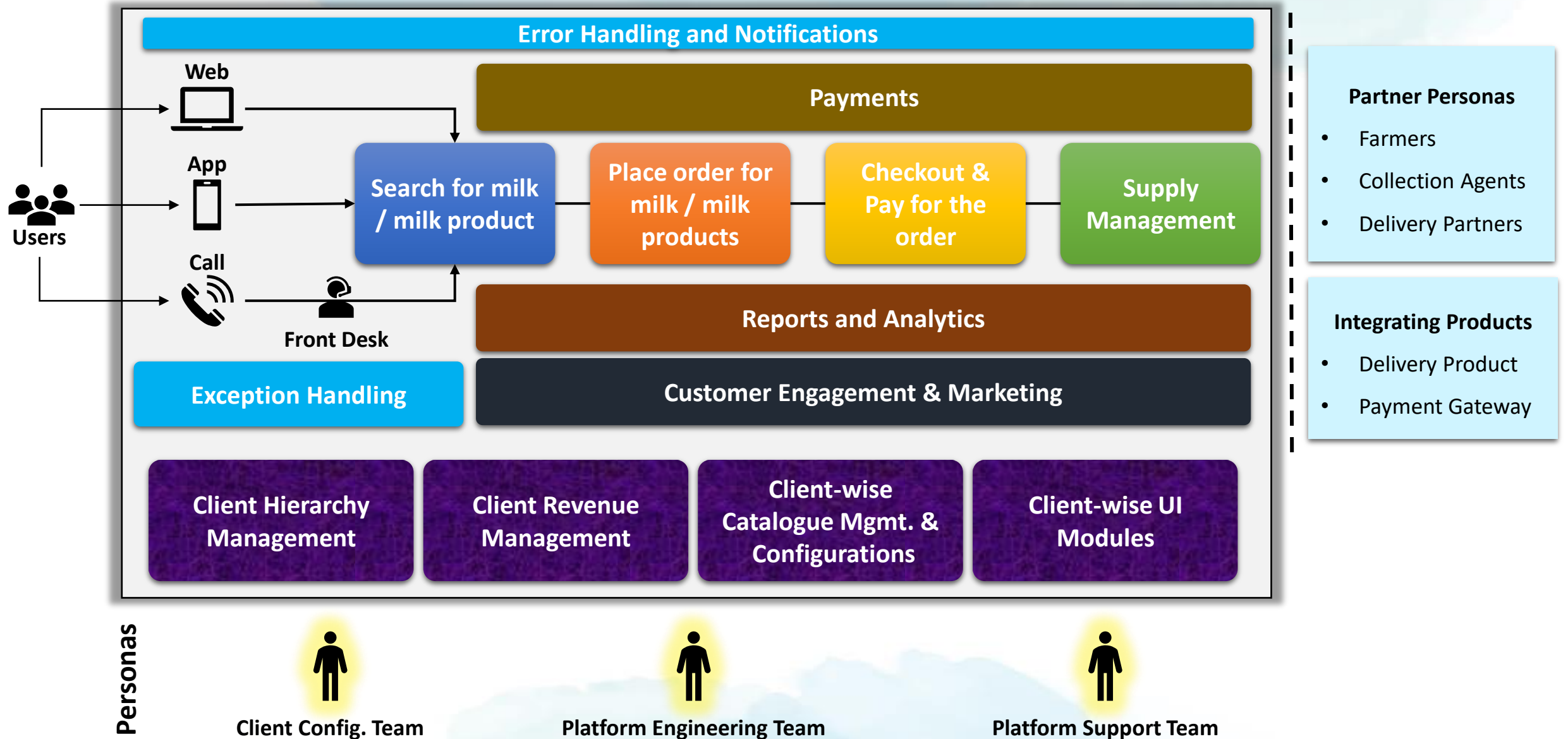
# Sample User Journey

|                        | Join    | Search                                                          | Decide                    | Purchase                           | Retain                                              | Exit                |
|------------------------|---------|-----------------------------------------------------------------|---------------------------|------------------------------------|-----------------------------------------------------|---------------------|
|                        |         |                                                                 |                           |                                    |                                                     |                     |
| Customer Goals         | Sign-up | Search for relevant milk product or milk for daily subscription | Check other user reviews  | Checkout and buy milk subscription | Get notifications about delivery                    | Cancel subscription |
|                        |         | Search for relevant milk product or milk for one-time purchase  | Check product ingredients | Buy milk on-demand                 | Renew milk subscription                             | Get confirmation    |
|                        |         |                                                                 |                           | Buy milk products on-demand        | Convert on-demand milk purchases into subscriptions |                     |
|                        |         |                                                                 |                           | Enter delivery address             |                                                     |                     |
|                        |         |                                                                 |                           | Get confirmation                   |                                                     |                     |
|                        |         |                                                                 |                           |                                    |                                                     |                     |
| Front Desk Agent Goals |         | Search for relevant milk product or milk for daily subscription |                           | Buy a subscription for customer    |                                                     |                     |
|                        |         | Search for relevant milk product or milk for one-time purchase  |                           | Buy on-demand product for customer |                                                     |                     |
|                        |         |                                                                 |                           | Enter delivery address             |                                                     |                     |
|                        |         |                                                                 |                           | Generate payment link              |                                                     |                     |
|                        |         |                                                                 |                           | Get confirmation                   |                                                     |                     |
|                        |         |                                                                 |                           | Send confirmation                  |                                                     |                     |
|                        |         |                                                                 |                           | Update delivery address            |                                                     |                     |
|                        |         |                                                                 |                           |                                    |                                                     |                     |

# Can we leverage on the product to create a platform?

Instead of serving one client, a platform can serve multitude of clients

# Technology Platform for any Dairy Farm

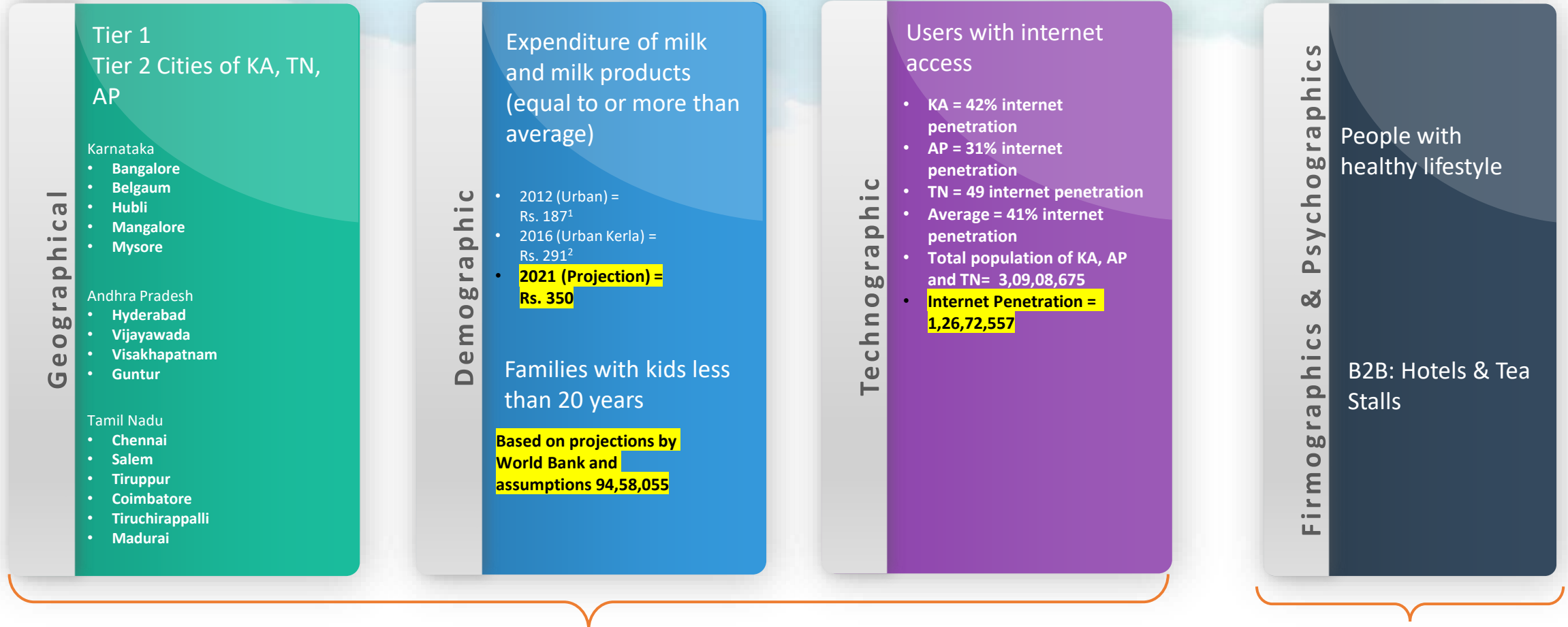




# How can we convince client to invest in the product?

Some tentative, rough calculations to evaluate market size and value

# Customer (Assumption based)



**Target Segments**

**Valid segments but not considered for target segments**

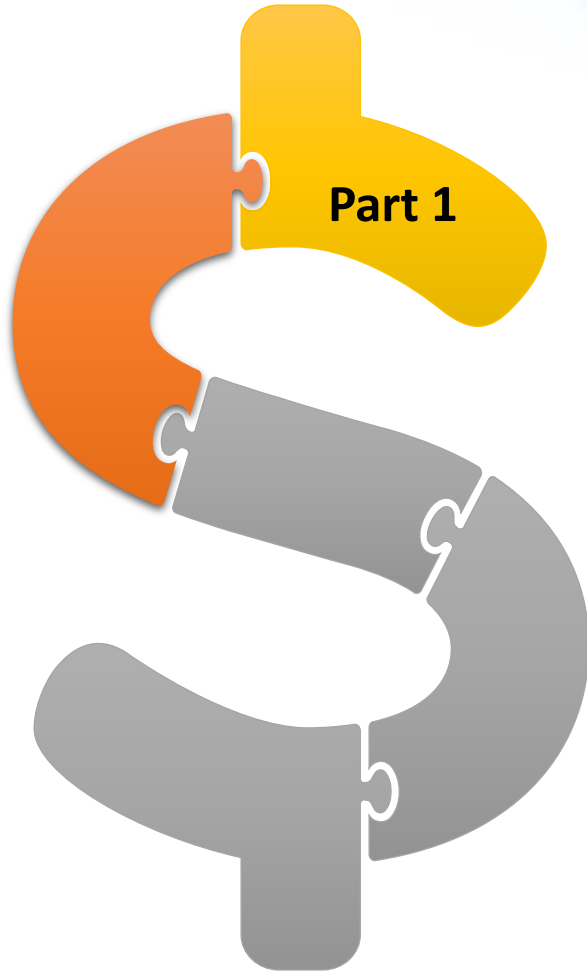
1: <https://www.nddb.coop/information/stats/percapitacomsp>

2: [https://www.researchgate.net/publication/299878138\\_Consumption\\_pattern\\_of\\_milk\\_and\\_milk\\_products\\_in\\_rural\\_and\\_urban\\_areas\\_of\\_Kerala](https://www.researchgate.net/publication/299878138_Consumption_pattern_of_milk_and_milk_products_in_rural_and_urban_areas_of_Kerala)

3: [http://mospi.nic.in/sites/default/files/publication\\_reports/Youth\\_in\\_India-2017.pdf](http://mospi.nic.in/sites/default/files/publication_reports/Youth_in_India-2017.pdf)

4. Internet penetration rate across India between January and November 2019, by state - <https://www.statista.com/statistics/1115129/india-internet-penetration-by-state/>

# Target Segment Value (in ₹)



|                                            |             |                          |
|--------------------------------------------|-------------|--------------------------|
| Total Population of Tier 1 & Tier 2 cities |             | 3,09,08,675 <sup>1</sup> |
| 9% of population (age <20 yrs)             |             | 1,11,27,123 <sup>2</sup> |
|                                            |             |                          |
| Families with 1 kid                        | 40%         | 44,50,849                |
| Families with 2 kids                       | 30%         | 33,38,137                |
| Families with 3 kids                       | 10%         | 11,12,712                |
| Families with 4 kids                       | 5%          | 5,56,356                 |
| Families with no kids                      | 15%         | 16,69,068                |
| <b>Total</b>                               | <b>100%</b> | <b>1,11,27,123</b>       |
|                                            |             |                          |
| Families with kids less than 20 years      |             | 94,58,055                |
|                                            |             |                          |
| Avg. expenditure on milk & milk products   |             | <b>₹ 350</b>             |
|                                            |             |                          |
| Total money spent on milk & milk products  |             | <b>₹ 3,31,03,19,092</b>  |

|                                                                              |                                  |              |
|------------------------------------------------------------------------------|----------------------------------|--------------|
| Per capita monthly Consumption Expenditure in Milk & Milk Products           | Urban (2012) <sup>3</sup>        | ₹ 187        |
|                                                                              | Urban Kerala (2016) <sup>4</sup> | ₹ 262        |
| Growth in 4 years                                                            |                                  | 40%          |
| Projected in 2021                                                            |                                  | ₹ 367        |
| Round-off Per capita monthly Consumption Expenditure in Milk & Milk Products |                                  | <b>₹ 350</b> |



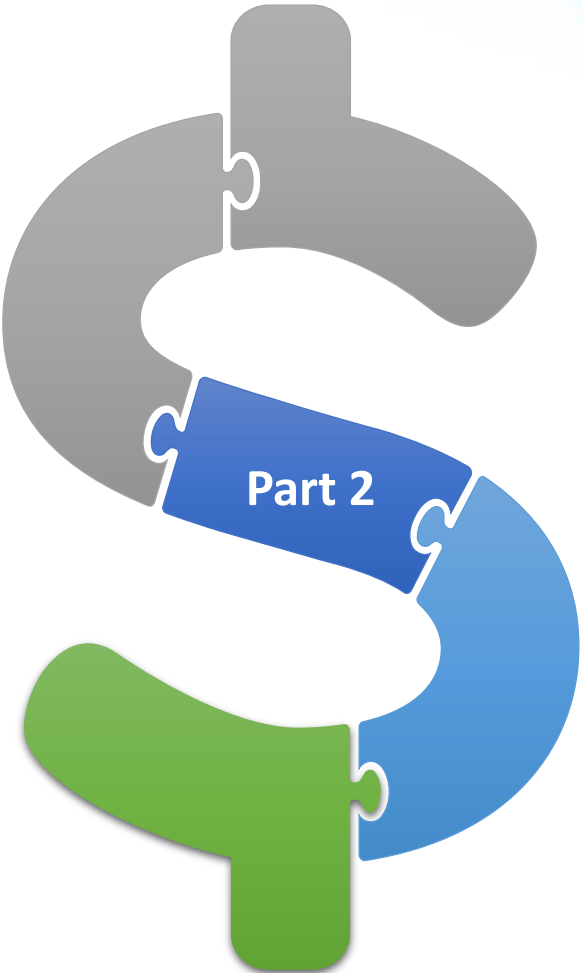
1. [https://en.wikipedia.org/wiki/List\\_of\\_cities\\_in\\_India\\_by\\_population](https://en.wikipedia.org/wiki/List_of_cities_in_India_by_population)

2. [MergedFile \(mospi.nic.in\)](#)

3. <https://www.nddb.coop/information/stats/percapitacomsp>

4. [https://www.researchgate.net/publication/299878138\\_Consumption\\_pattern\\_of\\_milk\\_and\\_milk\\_products\\_in\\_rural\\_and\\_urban\\_areas\\_of\\_Kerala](https://www.researchgate.net/publication/299878138_Consumption_pattern_of_milk_and_milk_products_in_rural_and_urban_areas_of_Kerala)

# Target Segment Value (in ₹)



|                                           |                  |
|-------------------------------------------|------------------|
| Total money spent on milk & milk products | ₹ 3,31,03,19,092 |
|-------------------------------------------|------------------|

| Pie of Market Segment<br>(Assumption based) |     | Value          | Profit Margin*   |                       |                   |
|---------------------------------------------|-----|----------------|------------------|-----------------------|-------------------|
|                                             |     |                | Best case<br>60% | Realistic Case<br>45% | Worst Case<br>30% |
| Best case share of market segment           | 15% | ₹ 49,65,47,864 | ₹ 29,79,28,718   | ₹ 22,34,46,539        | ₹ 14,89,64,359    |
| Realistic share of market segment           | 10% | ₹ 33,10,31,909 | ₹ 19,86,19,146   | ₹ 14,89,64,359        | ₹ 9,93,09,573     |
| Worst case share of market segment          | 5%  | ₹ 16,55,15,955 | ₹ 9,93,09,573    | ₹ 7,44,82,180         | ₹ 4,96,54,786     |

Even with conservative approach the Revenue ranges from ₹ ~5 million to ~7.5 million

What is in it for a Product Company:  
% of this revenue can injected into automation / technology product solution for long term benefits

\* Extrapolated from Income from dairy enterprise per month: [India: Increasing demand challenges the dairy sector \(fao.org\)](#) · [github.com/GSJ24983](#)

# Thank You

---

